

SUBCONTRACT AGREEMENT

For Construction Works at Kai Tak Development Area

Project Reference: KT-2026-SC-0147

Between:

Viact Construction Holdings Ltd (Main Contractor)

and

Pacific Engineering Services Ltd (Subcontractor)

Contract Value: HK\$48,500,000

Date: 5 May 2026

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires:

- (a) 'Works' means all construction, installation, testing and commissioning works described in Schedule A.
- (b) 'Site' means the construction site at Kai Tak Development Area, Kowloon, Hong Kong SAR.
- (c) 'Contract Sum' means HK\$48,500,000 (Hong Kong Dollars Forty-Eight Million Five Hundred Thousand).
- (d) 'Commencement Date' means 1 June 2026.
- (e) 'Completion Date' means 30 November 2027, subject to extensions of time granted under Clause 12.
- (f) 'Defects Liability Period' means 12 months from the date of Practical Completion.
- (g) 'Retention' means 10% of each interim payment certified, subject to a maximum of 5% of the Contract Sum.

1.2 References to statutes include amendments, re-enactments, and subordinate legislation.

1.3 Headings do not affect interpretation.

2. SCOPE OF WORKS

2.1 The Subcontractor shall carry out and complete the Works in accordance with:

- (a) The drawings listed in Schedule B;
- (b) The specification in Schedule C;
- (c) The programme in Schedule D;
- (d) All instructions issued by the Main Contractor's Representative.

2.2 The Works comprise structural steelwork, metal cladding, and associated fire protection for Building Block 3A (Towers 1-3, Podium Level 4 to Roof).

2.3 The Subcontractor shall provide all labour, materials, plant, equipment, temporary works, and everything necessary for the proper execution of the Works.

2.4 The Subcontractor shall coordinate with other subcontractors on Site and shall not impede their progress.

2.5 Any discrepancy between documents shall be resolved in the order of precedence: (i) this Agreement, (ii) Specification, (iii) Drawings, (iv) Programme.

3. CONTRACT SUM AND PAYMENT

3.1 The Contract Sum is HK\$48,500,000 and is a lump sum price inclusive of all costs.

3.2 The Subcontractor shall submit monthly valuations by the 25th of each month.

3.3 The Main Contractor shall certify and pay within 60 days of receiving a valid application.

3.4 Retention of 10% shall be deducted from each interim payment up to a limit of 5% of the Contract Sum.

3.5 Half of the retention shall be released upon Practical Completion. The remaining half upon expiry of the Defects Liability Period.

3.6 The Contract Sum shall not be adjusted except for:

- (a) Variations instructed under Clause 8;
- (b) Extensions of time costs under Clause 12.3;
- (c) Agreed claims for loss and expense under Clause 13.

3.7 No payment shall constitute acceptance of the Works or waiver of any right.

4. PROGRAMME AND PROGRESS

4.1 The Subcontractor shall commence the Works on the Commencement Date and complete by the Completion Date.

4.2 The Subcontractor shall submit a detailed programme within 14 days of the Commencement Date showing:

- (a) Sequence and timing of all activities;
- (b) Resources (labour and plant) allocated;
- (c) Key milestones and interfaces with other trades.

4.3 The programme shall be updated monthly and re-submitted for review.

4.4 If progress falls behind programme by more than 14 days, the Subcontractor shall submit a recovery plan within 7 days of notification.

4.5 Failure to recover progress may result in the Main Contractor engaging others at the Subcontractor's cost under Clause 15.

5. QUALITY AND WORKMANSHIP

5.1 All materials shall be new, of the quality specified, and fit for purpose.

5.2 The Subcontractor shall implement a Quality Management System compliant with ISO 9001:2015.

5.3 The Main Contractor may reject any work or materials that do not conform to the Specification.

5.4 Rejected work shall be removed and re-executed at the Subcontractor's cost within 7 days.

5.5 The Subcontractor shall maintain quality records and make them available for inspection at all times.

5.6 Hold points for inspection shall be as identified in Schedule C. Work shall not proceed past a hold point without written release.

6. SAFETY AND ENVIRONMENTAL

6.1 The Subcontractor shall comply with all applicable Hong Kong safety legislation including the Factories and Industrial Undertakings Ordinance (Cap. 59) and subsidiary regulations.

6.2 The Subcontractor shall appoint a Safety Officer and Safety Supervisors as required by law.

6.3 All workers shall have completed the Construction Industry Safety Training Certificate ('Green Card').

6.4 The Subcontractor shall conduct daily toolbox talks and weekly safety inspections.

6.5 Any safety violation may result in immediate suspension of affected works at the Subcontractor's cost.

6.6 The Subcontractor shall maintain a site-specific Safety Plan and submit it within 7 days of commencement.

6.7 Environmental requirements: noise control (NPD compliance), dust suppression, waste management (trip-ticket system), and discharge permits for dewatering.

7. INSURANCE AND INDEMNITY

7.1 The Subcontractor shall maintain the following insurances throughout the contract period:

- (a) Employees' Compensation Insurance as required by law;
- (b) Third Party Liability Insurance with limit not less than HK\$50,000,000 per event;
- (c) Contractor's All Risks Insurance for the Works and materials on Site.

7.2 Evidence of insurance shall be provided within 7 days of the Commencement Date.

7.3 The Subcontractor shall indemnify the Main Contractor against all claims, damages, losses, costs and expenses arising from:

- (a) Death or personal injury caused by the Subcontractor's negligence;
- (b) Damage to property caused by the Subcontractor's operations;
- (c) Breach of statutory requirements by the Subcontractor.

7.4 The indemnity shall survive termination of this Agreement.

8. VARIATIONS

8.1 The Main Contractor may at any time instruct Variations to the Works by written instruction.

8.2 No Variation shall vitiate this Agreement.

8.3 Variations shall be valued by reference to:

- (a) Rates in the Contract Bills where applicable;
- (b) Fair rates derived from the Contract Bills;
- (c) Daywork rates in Schedule E where neither (a) nor (b) is applicable.

8.4 The Subcontractor shall not carry out any variation without a written instruction. Oral instructions shall be confirmed in writing within 48 hours.

8.5 The Subcontractor shall submit a quotation for each Variation within 14 days of the instruction.

9. DISPUTE RESOLUTION

9.1 Any dispute shall first be referred to negotiation between senior representatives of the parties for a period of 28 days.

9.2 If negotiation fails, the dispute shall be referred to mediation under the Hong Kong Mediation Code.

9.3 If mediation fails within 56 days of referral, the dispute shall be referred to arbitration under the HKIAC Administered Arbitration Rules.

9.4 The seat of arbitration shall be Hong Kong. The language shall be English.

9.5 The arbitrator's decision shall be final and binding on both parties.

9.6 Pending resolution of any dispute, both parties shall continue to perform their obligations under this Agreement.

10. TERMINATION

10.1 The Main Contractor may terminate this Agreement by giving 14 days written notice if the Subcontractor:

- (a) Abandons the Works or suspends progress without justification for more than 14 consecutive days;
- (b) Fails to proceed regularly and diligently after receiving a warning notice;
- (c) Becomes insolvent, enters liquidation, or has a receiver appointed;
- (d) Assigns this Agreement without consent;
- (e) Commits a material or persistent breach of any safety obligation under Clause 6.

10.2 Upon termination, the Main Contractor may:

- (a) Take possession of the Site, plant, materials, and temporary works;
- (b) Engage others to complete the Works;
- (c) Recover all additional costs from the Subcontractor.

10.3 No further payment shall be due to the Subcontractor until the Works are completed and the additional costs assessed.

10.4 The Subcontractor may terminate if the Main Contractor fails to pay a certified sum within 90 days of the due date, provided 21 days written notice is given.

11. LIABILITY CAP AND LIMITATION

11.1 The Subcontractor's total aggregate liability under this Agreement shall not exceed 150% of the Contract Sum.

11.2 Neither party shall be liable for indirect or consequential losses except where arising from fraud or wilful default.

11.3 Claims must be notified within 28 days of the event giving rise to the claim. Failure to notify within this period may bar the claim.

11.4 The limitation period for claims under this Agreement shall be 6 years from Practical Completion.

12. EXTENSIONS OF TIME

12.1 The Subcontractor shall be entitled to an extension of time if completion is delayed by:

- (a) Variations instructed by the Main Contractor;
- (b) Force majeure events (typhoon signal 8 or above, government-ordered site closure);
- (c) Late provision of information or access by the Main Contractor;
- (d) Suspension instructed by the Main Contractor (other than for safety breach).

12.2 The Subcontractor shall give written notice of delay within 14 days of the delaying event and provide full particulars within 28 days.

12.3 If an extension of time is granted for a cause that is the Main Contractor's responsibility, the Subcontractor may also claim direct loss and expense.

EXECUTION

SIGNED by Viact Construction Holdings Ltd

Director

SIGNED by Pacific Engineering Services Ltd

Director